



“As you fly long- and ultra-long-haul, some of the cost efficiencies that you see in domestic and short-haul international operations will not be the same”

KAPIL KAUL
DIRECTOR & CEO, CAPA INDIA

38 | **950**

**THE NUMBER
OF AIRCRAFT
ORDERED BY
INDIGO**

and Navi Mumbai is also expected to provide opportunities for regional international expansion. Sanjay Kumar, IndiGo's former Chief Commercial Officer, says Air India currently has an upper hand on premium long-haul routes. “After the Tatas’ takeover of Air India, we are slowly seeing the much-needed improvements with new and refreshed fleet and better products and services. But as far as the domestic economy product/short haul is concerned, as long as you know that the aircraft is clean, seats are comfortable, and network and operations are great, customers don’t care for either in-flight entertainment or the miles,” he says. Bhargava says IndiGo’s domination of the domestic market was facilitated by the collapse of some of the bigger airlines such as Sahara, Kingfisher, Jet Airways and Go First. A similar opportunity is unlikely to come IndiGo’s way on international sectors, he says.

However, Kumar has a different take. He says it took time for IndiGo to become profitable because there was huge competition. Better long-term plans with strict cost controls and execution worked in favour of IndiGo. “What is more important is that with traffic

growth, matured market fares and virtually no competition other than Air India, there is no other domestic carrier better placed than IndiGo to take advantage of what has been done in the short-haul market. Once IndiGo starts getting into wide body operations, two things will happen—one is the experience of the customer with new aircraft and second is connectivity to and from even Tier II/III/IV cities,” he says.

THE CHALLENGES

Profitability is the key to a successful operation. Lazar says that is the only challenge he foresees in IndiGo’s international glide path. “Ensuring low operating cost and profitability on wide-body operations will be a challenge but I’m confident that their DNA of operational discipline will help them succeed,” he says. Another issue is securing slots for long-haul operations, particularly at high-demand international hubs where availability is limited. Access to high-demand slots at congested airports like Heathrow, Dubai, and JF Kennedy is limited and expensive, curbing network planning for Indian airlines.

“However, the emergence of new and expanding airports in India presents opportunities to secure slots domestically and position itself strategically for long-haul growth. This aligns well with the upcoming deployment of its damp lease on Boeing 787 and introduction of the Airbus A321 XLR fleet, enabling the carrier to expand international operations in a cost-effective manner,” says Patel. However, policy challenges such as restrictive bilateral air service agreements, lack of a comprehensive open skies policy, high domestic operational costs, slow regulatory approvals and airspace and geopolitical issues can limit international expansion and competitiveness, he says.

There has been pressure on the Indian government for opening bilateral rights from Middle Eastern carriers which want to reap the benefits of the vast Indian market. Bilaterals are expected to be opened soon, but Kaul says one needs to see what kind of profitability both Air India and IndiGo derive from flying to Europe and the US. “With bilaterals being opened, and probably Russian air space as well, you will have more US carriers flying non-stop to India. So, profitability will have to be seen, but as far as the market share is concerned, there is enough for both, at least in the near term,” he says.

Indian domestic carriers are up for a competitive battle. Can IndiGo repeat its domestic success story in foreign skies? **BT**

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